is the wrong instrument to favour such activities. A nationally important activity such as infrastructure may be very risky. To require lower provisions, or to allow higher leverage or ECBs for such activities, may increase systemic risk. In the long run, the activity may be damaged by the regulatory dispensation (too many infrastructure projects that do not have dollar earnings will be financed with dollar or yen loans and cannot repay) and stability may also be compromised. It is far better for the government to directly subsidize such activities if it deems them important than for the RBI to sacrifice systemic stability on the altar of national importance.

CONCLUSION

Let me conclude. While the RBI has been cautious in reforming during the recent period of global market turmoil, it has not stood still. Market reforms have proceeded at a steady measured pace. Observers may be impatient, but my belief is that steady and irreversible reform and 'mini Bangs' like yesterday's rather than 'Big Bang' is the need of the hour. As global conditions become less uncertain, the pace of reform can pick up. The lessons we have learnt during this period on what works will be invaluable then.